

Tutorial 3

Earnings, Sector Catalysts, and Read-Through Analysis

A student-ready module for connecting one company report to peers, sectors, and the macro backdrop.

Module purpose

Prepared from the April 21, 2026 class transcript. Original discussion anchor: Capital One, United Airlines, Halliburton, 3M, and UnitedHealth Group earnings; how one bank can create a read-through for another; and why industry knowledge matters. Educational material only - not investment advice.

Ideal length	Audience	Student output
75-90 minutes	Beginner to intermediate market students	One earnings brief + one read-through map

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1. Lesson snapshot

What the live conversation was really about

The discussion began with a list of companies reporting earnings. The deeper teaching point is that earnings are not isolated events. A report can move the company, its peers, suppliers, customers, sector ETFs, and sometimes the macro narrative.

Students should learn to ask four questions: What happened? What changed versus expectations? What does it imply for peers or the sector? What price level would confirm that the market agrees?

Transcript item	Student-ready correction	Teaching reason
Halliburton was described as aeronautics/military.	Teach Halliburton as an energy-services and oilfield-services company.	Halliburton itself says it provides products and services to the energy industry. [4]
3M was described as industrial and everywhere.	Teach 3M as a diversified industrial, safety, consumer, electronics, and materials company with segment-level drivers.	Segment mix matters because one report can have strength in one segment and weakness in another. [7][10]
Healthcare was treated as an unfamiliar industry for Adel but familiar to Val.	Use this as a circle-of-competence moment: expertise can help, but filings and metrics still matter.	Industry knowledge must be paired with evidence, not replaced by intuition.

2. Learning objectives

- Identify the difference between an earnings release, earnings call, 8-K, 10-Q, 10-K, and investor presentation.
- Create a one-page earnings brief that separates facts, management guidance, analyst expectations, and price reaction.
- Build a sector read-through from one company to peers, suppliers, customers, and ETFs.
- Use industry-specific metrics instead of one generic EPS checklist.
- Avoid trading a headline before understanding what the market expected.

3. Earnings event anatomy

An earnings event is a package, not a headline. Students should learn the order of materials and why each piece has a different reliability level.

Document or event	What it contains	How students use it
Earnings release	Revenue, EPS, adjusted metrics, guidance, management quotes, segment highlights.	Fast first read. Check headline numbers and guidance changes.
8-K	Official SEC filing that often furnishes the earnings release and exhibits.	Verify the company actually filed what news services are quoting.
Earnings call	Prepared remarks plus analyst Q&A.;	Listen for guidance tone, demand, margins, pricing, risks, and management credibility.
10-Q	Quarterly financial statements, MD&A, risks, debt, liquidity, and notes.	Slow read. Confirm details after the first reaction.

Document or event	What it contains	How students use it
10-K	Annual business overview, risks, audited financials, and management discussion.	Baseline source for understanding what the company does and what can go wrong. [1]
EDGAR	SEC database for official filings.	Primary-source search before relying on summaries. [2]

4. The sector metric map

A beginner mistake is to judge every earnings report only by EPS. Sector-specific metrics tell students what business engine actually drives the company.

Sector / example	Core metrics to watch	Read-through question
Banking / Capital One	Net interest income, credit card delinquencies, charge-offs, provision for credit losses, deposits, loan growth, capital ratios.	Does this confirm or challenge what other banks reported last week?
Airlines / United	Capacity, load factor, unit revenue, fuel cost, CASM ex-fuel, premium demand, international demand, labor cost, guidance.	Is demand strong enough to offset fuel, labor, and capacity costs?
Energy services / Halliburton	North America vs international revenue, drilling/completions activity, margins, upstream capex, equipment demand, logistics costs.	Does oil/geopolitics increase service demand or create cost disruption?
Industrials / 3M	Organic sales, segment margins, cost control, tariffs, input costs, litigation/PFAS, safety and industrial demand.	Is the company seeing broad industrial strength or only cost cuts?
Managed care / UnitedHealth	Revenue, medical care ratio, membership, premium pricing, Medicare Advantage, Optum, operating margin, outlook.	Are medical costs stable enough for guidance and peer sentiment?

Metric discipline

The right question depends on the business. A bank, airline, energy-services company, industrial conglomerate, and health insurer should not be analyzed with the same one-line checklist.

5. Read-through analysis: from one report to the map

Read-through means using one company result as evidence for another company, sector, supplier, customer, or macro trend. It is useful, but never automatic. Students should write the chain of logic explicitly.

Level	Question	Example
Same company	Did guidance, margin, demand, or risk change?	3M beats EPS but may still mention soft demand in some segments.
Peers	Do similar companies share the same driver?	Capital One credit trends may be compared with other credit-card lenders or banks.
Suppliers/customers	Does one company confirm demand for another link?	Airline fuel-cost comments can affect refiners, oil, and travel peers.
Sector ETF	Is the move broad or isolated?	UnitedHealth may move managed-care peers if the issue is medical-cost trend.

Level	Question	Example
Macro	Does it change inflation, rates, consumer, credit, or energy views?	Banks and credit-card delinquencies can feed consumer-health views.

Guardrail

A read-through is a hypothesis, not proof. It becomes stronger when multiple companies across the same chain say the same thing.

6. Earnings one-page brief template

Section	Prompt	Student notes
Company	Ticker, sector, business model, and why it matters today.	
Headline result	Revenue, EPS, guidance, and what beat/missed expectations.	
Key metric	The sector-specific metric that matters most.	
Management tone	What did management say about demand, margins, costs, or risks?	
Read-through	Which peers, suppliers, customers, or ETFs could react?	
Chart level	What level confirms strength, weakness, or no-trade?	

7. Applied case prompts from the conversation

Company	Student research task
Capital One	Compare credit quality and consumer-loan trends with large bank reports from the prior week. Write one read-through for credit-card lenders.
United Airlines	Identify whether the report is driven by demand, fuel, capacity, labor, or guidance. Write one read-through for travel and energy.
Halliburton	Correct the sector first: energy services. Then connect oil prices, upstream capex, international activity, and geopolitics.
3M	Break the report into segments. Decide whether the market is rewarding growth, margin improvement, litigation clarity, or guidance.
UnitedHealth	Track medical cost ratio, membership, Medicare Advantage, Optum, and full-year outlook. Ask whether peers should move too.

8. Mini-quiz

Question	Expected answer
What is an earnings read-through?	A hypothesis that one company report has implications for peers, suppliers, customers, sector ETFs, or macro themes.
Why should students use EDGAR?	To verify official filings instead of relying only on articles or social posts. [2]

Question	Expected answer
What was the sector correction for Halliburton?	Halliburton should be analyzed as an energy-services/oilfield-services company, not aerospace/military. [4]
Why is EPS alone not enough?	Different sectors have different engines; banks, airlines, energy services, industrials, and health insurers need different metrics.

9. Source-backed reading list

Use these as the external reading pack. Teach students to start with primary company materials and official SEC filings before using commentary.

[1] [SEC Investor.gov - How to Read a 10-K](#). Investor.gov explains that a 10-K describes what a company does, the risks it faces, and its financial report.

[2] [SEC - EDGAR Full Text Search](#). Official SEC search tool for public-company filings, including 10-Ks, 10-Qs, 8-Ks, proxy statements, and exhibits.

[3] [CFA Institute - Financial Analysis Techniques](#). CFA Institute frames ratio analysis across activity, liquidity, solvency, profitability, valuation, and industry-specific measures.

[4] [Halliburton - About Us](#). Halliburton describes itself as one of the world's leading providers of products and services to the energy industry.

[5] [Capital One - Investor Relations](#). Capital One investor-relations page for earnings releases, webcasts, dividends, annual reports, and SEC materials.

[6] [United Airlines - Investor Relations](#). United Airlines investor-relations page for financial releases, webcasts, reports, and shareholder materials.

[7] [3M - Q1 2026 Results](#). 3M reported Q1 2026 results including adjusted EPS, adjusted operating margin, and segment commentary.

[8] [UnitedHealth Group - Q1 2026 Results](#). UnitedHealth Group reported Q1 2026 revenues, EPS, adjusted EPS, and full-year outlook updates.

[9] [United Airlines - Annual Reports](#). United Airlines lists annual reports and proxy statements for long-form business and risk review.

[10] [3M - Investor Relations](#). 3M investor-relations page provides quarterly results, presentations, financial-statement information, 10-Q filings, and webcasts.

Instructor reminder

A great earnings lesson does not stop at beat or miss. It teaches what changed, who else it affects, and what evidence would prove the market agrees.